Is S.B.F. Possibly… Innocent?

The imprisoned FTX founder is now taking a three-pronged approach to getting out of jail—claiming that prosecutors threatened his partners, Sullivan & Cromwell had a conflict of interest, and his crypto exchange was actually solvent all along. Oh, and he's also sucking up to Trump. Will any of it work?

Filing his own motion for a new trial is not the only thing Sam has been doing to try to get out of prison. Through a surrogate, he has become active on X again, and has made many of the same points there that he made in his motion for a new trial. Photo: Via Pacers/Bloomberg/Getty Images

WILLIAM D. COHAN

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He who represents himself, as **Abraham Lincoln** once may have said, *has a fool for a client*. Will that apply to the notorious **Sam Bankman-Fried**, too? In early February, the disgraced crypto mogul drafted his own legal brief, presumably from his prison cell in San Pedro, California, requesting that the Southern District of New York grant him a new trial. He has also asked that Judge **Lewis Kaplan** "recuse himself" from a potential new trial because, Sam wrote, referring to himself in the third person, of "the manifest prejudice he has demonstrated towards Mr. Bankman-Fried." The brief is very well written, and also pretty damn convincing. I hope S.D.N.Y. grants him a new trial.

Now, don't confuse Sam's request for a new trial with his still-pending appeal, before the Second Circuit, of his November 2023 conviction on the seven counts on which he was indicted. (He used a real lawyer, **Alexandra Shapiro**, for that.) In March 2024, Sam was sentenced to 25 years in federal prison. So, only 23 years left to go for Sam, unless he wins his appeal, is granted a new trial (and is then found not guilty), or somehow gets **Donald Trump** to pardon him. (And yes, Sam is trying that, too.) Safe to say, he has both the time and the inclination to act as his own lawyer on this matter. And the price was right.

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His request for a new trial rests heavily on his contention that FTX was actually solvent when it filed for bankruptcy, and that Sullivan & Cromwell, which served as the debtor's counsel in that bankruptcy, had a conflict of interest. "By the Debtors' own acknowledgment, they spent virtually all of their time in the first 90 days aiding the prosecution," Sam wrote, "billing the Estate tens of millions of dollars for their efforts." He says that **John J. Ray III**, who was named FTX C.E.O. in 2022 to manage its bankruptcy, "credited Sullivan & Cromwell for SDNY's success in indicting Bankman-Fried and securing guilty pleas from two of his co-founders in record time."

The total cost of FTX's bankruptcy is now around **$1 billion**, with more than $952 million in court-approved fees distributed to more than a dozen firms. But it's all worked out for the company's customers, at least—or so Sam argues. Sam wrote that in May 2024, after his conviction and sentencing, the debtor "finally acknowledged" that "all customer deposits" would be repaid at a recovery of between 119 percent and 143 percent of their value on the date of the November 2022 bankruptcy filing. "They have now all been repaid."

The Chapsky Revelation

Sam's brief also lays out what he believes two former senior FTX executives—**Daniel Chapsky** and **Ryan Salame**—*would* have said at his federal trial had they not been too intimidated, by their own admission, to testify. Chapsky's affidavit, filed as an exhibit to Sam's brief, is particularly compelling. As FTX's head of data science, he was in charge of the company's analytics database and regulatory reporting in a variety of jurisdictions. He did not do any work for Alameda, Sam's hedge fund that siphoned off some $8 billion in FTX customer deposits and invested in hundreds of venture deals—including Anthropic, which would have been an *epic* win had the estate held on to it longer.

At Sam's criminal trial, the government repeatedly relied on the expert testimony of **Peter Easton**, an accounting professor at Notre Dame who, Chapsky stated in the affidavit, "repeatedly claimed" that FTX was insolvent at the time of bankruptcy filing and had "irretrievably lost" customer funds. According to Sam's filing, the prosecution repeatedly hammered on the theme of FTX's insolvency to the jury—that Sam "knows that there's this giant, massive, unrepayable hole"; that when he "said FTX had enough to cover all client holdings, that was a lie"; that FTX "was 10 billion plus in the hole … totally under water"; and that "customers were left with billions of dollars in losses." And yet, Chapsky said he was prepared to testify that FTX was solvent at the time.

In his affidavit, Chapsky stated that, in January 2023, at the request of the debtor, he did an "independent analysis" of FTX's assets and liabilities as of the bankruptcy filing date. His analysis showed that the international FTX exchange had $5.5 billion in liquid assets, $3.8 billion in "semi-liquid" assets, and a portfolio of more than 300 venture investments, with a book value of about $4.6 billion. FTX US had some $360 million of cash and liquid digital assets at the filing date, with "outstanding liabilities" to customers totaling $200 million. "By any measure," Chapsky wrote, "FTX US was solvent with a substantial cash surplus."

While his analysis did show that the international FTX exchange had "a substantial (roughly $8 billion) liquidity shortfall" as of the filing date, "it was solvent—meaning that it had enough assets to cover customers' deposits. In my professional opinion, given the nature and value of the assets in FTX's possession on November 11th, customers of these solvent entities could have been made whole within months—not years—had the

exchanges not been placed into omnibus bankruptcy proceedings and abruptly shut down."

Chapsky wrote that Ray "arbitrarily" assigned "zero" value to Sam's portfolio of investments, as well as to the liquid and semi-liquid cryptocurrencies that FTX owned, and maintained that FTX was insolvent on the day it filed for bankruptcy—a "claim" later "laid to rest" by the FTX independent examiner's report in September 2024. "In my opinion, this wholly incorrect impression colored public opinion about what had happened to FTX as well as the entire trial," Chapsky argued, adding that the debtors "were prioritizing" Sam's "prosecution and conviction" over "the interest of creditors."

Chapsky said he was planning to say as much at Sam's trial after Sam's legal team had contacted his counsel about him testifying. "I believed that testifying truthfully about FTX's financial condition—regardless of which party called me—would serve creditors' best interests by ensuring the Court had accurate information," he wrote. But his own attorney, and other attorneys as well, "strongly advised me not to testify" for fear that he would open himself to "media attacks" and "potential retaliatory actions" by prosecutors. Chapsky believes his "testimony could have refuted the errors in the prosecution's representations about FTX's financial condition and provided the jury with more accurate information."

The Salame Witch Hunt

Sam's brief claims that Salame—the C.E.O. of FTX Digital Markets, FTX's Bahamian subsidiary—who pleaded guilty to two counts and was sentenced to more than seven years in prison, was also prepared to testify in his defense until the prosecutors put the squeeze on him. According to Sam, and corroborated by Salame's recent posts on **X**, the government "put enormous pressure" on Salame to plead guilty to multiple charges and to testify against Sam. When Salame refused, the government threatened to indict his pregnant fiancée, the former Republican congressional candidate **Michelle Bond**, on campaign finance charges.

On the eve of Sam's trial, Salame agreed to plead guilty to two charges, in exchange for prosecutors dropping the investigation into Bond. (In a legal filing, prosecutors denied that there was ever such a deal with Salame.) In the end, Salame was the only defendant who refused to testify on behalf of the prosecution. "I finally capitulated to make sure those dearest to me would be unharmed and because I refused to tell lies they wanted me to," Salame **posted** on X on January 1, 2026. (The prosecutors reneged on their agreement with Salame, if there ever was one, and pursued a prosecution against Bond, who was indicted in August 2024. That trial picks up again on March 4.)

Salame has said he wishes he had done more. "One of my (many) regrets is actually letting my lawyers scare me into not testifying in SBFs defense," he wrote on August 15, 2024. Months later, on *The Tucker Carlson Show*, he elaborated: "A lot of that stuff was just not accurate the way they were describing it. But no one got up to counter any of the government's narrative, because then you get threatened with more time in prison. … I flirted with the idea of being on the defense for Sam. … I noted this to my lawyers and the lawyers said, 'You could face an extra 10 years for doing that. Do you really want to, sort of, risk that?' … And so the bankruptcy lawyers in conjunction with the government keep everyone silent."

In his brief, Sam wrote of Salame, "He paid dearly for his principles. He is now serving a 7½-year sentence on two minor and baseless charges unrelated to the central alleged fraud at FTX—over three times the combined sentence of the cooperating witnesses who adopted the Government's narrative at trial."

The Trump Pardon Striptease

Filing his own motion for a new trial is not the only thing Sam has been doing to try to get out of prison. Through a surrogate, he has become active on X again, and has made many of the same points there that he made in his motion for a new trial. He also seems to be trying to suck up big time to Trump, perhaps to try to get one of those pardons that the president seems to hand out like soda water.

On January 29, he took to X to go to town on **Joe Biden**. "The Dems may control trad media," he posted. "But they don't control the truth." He posted that he became a Republican in 2022 and gave "tens of millions to Republicans" that year. He wrote that "Biden bungled crypto" when he chose **Gary Gensler** to be the chairman of the Securities and Exchange Commission. Donald Trump, on the other hand, "is right on crypto." He also accused Biden of bungling Covid and of politicizing the Justice Department. He called Trump's decision to capture **Nicolás Maduro**—who is currently being held in the Metropolitan Detention Center, in Brooklyn, where Sam himself spent the better part of a year—"smart, gutsy and pro-democracy." You get the idea…

Sam seems to be throwing three Hail Marys at the same time: hoping for his conviction to be thrown out by the Second Circuit, or that a non-Kaplan judge will grant him a new trial in the Southern District of New York, or—the biggie—that maybe Trump will take matters into his own hands after he's done bombing Iran. The first two legal strategies seem spot-on to me. But the ick factor is very high with his unabashed appeal to Trump for a pardon, especially so when his appeal is relies on a claim that Sullivan & Cromwell, a law firm that has become very close to Trump, is responsible for Sam's predicament. What happened to effective altruism, Sam?

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